

to pay). That means your insurance company may raise your premium just as if you had caused the accident.

An additional type of insurance required in some states is **uninsured motorists coverage**. This protects you if an uninsured driver crashes into your car and you're injured. You may also want to consider getting **underinsured motorists coverage**, which will protect you if the driver who crashes into your car has some, but not enough, insurance to cover your costs. If you have really good health insurance, you can probably skip it.

If You Rent a Car, Cover Your Assets

One type of coverage you'll want to have when you rent a car is liability protection. If you also own a car, your standard auto liability and collision damage coverage should insure you when you rent a car—unless, for example, you're traveling on business or you're renting for more than a couple of days. Check with your insurer to get the rules on your policy.

If you don't own a car, some credit card companies will give you automatic collision coverage (or even comprehensive coverage) as a perk if you use their cards to pay for rental cars. (Lately, MasterCard has been providing collision and comprehensive coverage, but check your card agreement to be sure.) If you don't have coverage, buy it at the car rental counter. Frequent renters may find it cheaper to get something called a "nonowner" policy from an insurance company.

How to Reduce Your Auto Insurance Costs

Your premiums are based on factors such as your age, where you live, the type of car you drive, your gender, marital status, credit rating, driving record, and how much driving you do. The following suggestions can substantially reduce your premiums:

- **Shop around.** Plenty of websites let you compare car insurance quotes from various companies. The trick is finding out whether the quotes they give you really are the best available. Try both www.carinsurance.com and www.netquote.com; between them they cover nearly all of